FROM THE

EDITOR-IN-CHIEF

Sentiment is a crucial element for the health of an economy. Finance Minister Nirmala Sitharaman has given a massive boost to the sentiment and pockets of middle-class taxpayers with a bold step in her recent budget. Those earning an income up to Rs 12 lakh per annum will now not have to pay any tax at all; the earlier ceiling was Rs 7 lakh. That takes a good 10 million Indians entirely out of the income-tax net, a full one-third of our taxpayer base of 32 million. Tax slabs were also substantially rationalised: the highest rates of 30 per cent now kick in only for incomes above Rs 24 lakh, compared to Rs 15 lakh earlier. The bonanza will likely cost the government Rs 1 lakh crore in revenues.

This is the biggest consumption push the Modi government has given in recent years, marking a directional shift from relying solely on capital expenditure to pump prime the economy. Capital outlays for FY26 were maintained at Rs 11.21 lakh crore, only inches above last year's figure. Several sceptical economists say capex has a larger multiplier effect on the economy than direct tax cuts. While there is no tax on scepticism, other experts see the present path as a marriage of sound economics and good politics. The government hopes for the start of a virtuous cycle. Finance Secretary Tuhin Kanta Pandey rightly points out that the additional disposable income can be channelled to consumption, savings or investment. In all three cases, the money moves and irrigates various sectors rather than stagnating. Retail investors feed the industry's need for capital, savings become capital for banks to lend, consumption promotes production and consequentially generates employment.



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While India is the fastest-growing among all major economies, the second quarter of 2024 was marked by a perceptible slowdown. Prospects for global growth are expected to be modest in the medium term. So, Sitharaman has rightly focused on tackling these headwinds with what she called the four power engines of growth: manufacturing, agriculture, investment and exports. With manufacturing contributing an underwhelming 17 per cent to India's GDP, far short of the original 2025 target of 25 per cent, the budget saw the government announce a National Manufacturing Mission to focus on vital enablers in the sector. For MSMEs, the backbone of India's manufacturing sector, size-based classification criteria have been substantially revised so that many more businesses can access the range of government incentives, subsidies and credit guarantees. On the reforms front, the limit of 74 per cent on foreign direct investment in the insurance sector has been taken off entirely, on the condition that the premiums are invested here. The government has also done well to encourage states with an outlay of Rs 1.5 lakh crore for 50-year interest-free loans for capex. In agriculture, among the big-ticket items is a six-year mission for self-reliance in pulses, much needed because India imports 50 per cent of its requirement—that cost $3.75 billion (Rs 32,858 crore) in 2023-24. For local businesses eager to tap into global supply chains, an Export Promotion Mission will play facilitator. To mitigate the 'Trump effect', duties were lowered for a range of goods, including motorcycles and passenger vehicles. Creditably, even as the budget laid a roadmap for the future, Sitharaman has maintained her fiscal prudence, promising to keep the fiscal deficit to 4.4 per cent of the GDP in FY26.

While Budget 2025 is overall a job well done, the government must push hard on the pedal on key fronts to achieve an ambitious 8-10 per cent growth path towards a Viksit Bharat. The record on disinvestment has been quite abysmal. From 2020-21 till 2024-25, the government has achieved only 29 per cent of its target. Even the targets are coming down. It was only in FY22 that we had Rs 1.75 lakh crore as the target; this budget has a modest Rs 47,000 crore. It seems the government has rethought this part of liberalisation. If this is not bad enough, the government continues to throw good money after bad by asset-monetising chronic money losers like MTNL and BSNL, with losses of Rs 3,302 crore and Rs 5,371 crore respectively. Recently, the government released a special package of Rs 11,440 crore to Vizag Steel Plant, which lost Rs 4,850 crore in 2023-24 and has a total debt of Rs 17,000 crore.

The budget has done well in setting up high-level committees to review the maze of rules and regulations in the non-financial sector. The commission should not become another bureaucratic siesta chamber or a hotbed of vested interests; only clear deadlines and goals can remove the regulatory cholesterol that jams up business arteries. Establishing committees to examine deregulation is welcome, but proposals take time to recommend and implement. Perhaps this could have been done several budgets before, as private investment has been on a downward slope since 2011-12, unresponsive even to the corporate tax cut of 2019. Notably, in this year's Economic Survey, V. Anantha Nageswaran, the government's chief economic advisor, advocated that both the Centre and states work towards "getting out of the way"—i.e. stop micromanaging economic activity. The government has to learn to trust its citizens rather than impose suffocating regulations to catch random violators. Only then will the 'animal spirits' it desperately wants to encourage start roaring.

(Aroon Purie)